

KITCHEN THREE

METHOD CREATES DISTINCTION

GUIDE 01 · FOUNDATIONS

The Egyptian F&B *Startup* Checklist

Every step from concept to opening day — licensing, location, kitchen build-out, staffing, soft launch. The path through the Egyptian system, in the order you actually walk it.

WHY THIS EXISTS

Most F&B failures are *licensing* and *location* failures.

Bad food is rarely the reason a kitchen closes in its first year in Egypt. Bad licensing, wrong lease terms, missing permits, and a location that looks great on Friday but dies on Monday — those are the actual killers.

This checklist is for the operator about to commit capital. It walks the system from concept validation through opening day in the order the work actually happens. Each section is a phase. Each item is a step. Tick them off in sequence and you avoid the four or five expensive surprises that kill most new openings before year two.

The list assumes you are opening a kitchen-bearing food business in Cairo or Greater Cairo — restaurant, café, cloud kitchen, central production, or catering. Adjust the licensing details for governorates outside Cairo (most are similar but a few specifics shift). For pure retail food without preparation on premises (a packaged-foods shop, for example) the path is shorter.

READ THIS BEFORE PHASE 1

Three frequent mistakes that show up before you even start the legal work: (1) signing a lease before confirming the location can be licensed for food, (2) registering the company as the wrong activity code, (3) hiring a chef before knowing what kind of food you are selling. Each is a 6-month setback. Each is avoidable with one phone call earlier.

Concept & *validation*.

The phase before the spending. Most operators skip it. Most operators regret it.

1.1 Concept clarity

- ☐ Single-sentence concept statement — "we sell X to Y for Z reason"
- ☐ Top three competitors by name, with what each does well and badly
- ☐ Your point of difference in one sentence — not three, one
- ☐ Target average ticket size in EGP — the price the customer will pay, not what you want them to pay
- ☐ Target gross margin — 65 to 70% for restaurants, 55 to 65% for cafés, 60 to 70% for cloud kitchens

1.2 Market validation

- ☐ Three customer-discovery conversations with people who fit your target — not friends, not family
- ☐ Walk three competitor sites at three different days/times — Friday lunch, Tuesday afternoon, Saturday evening
- ☐ Count covers, not impressions — empty seats at peak hour matter more than busy seats at lunch
- ☐ Talabat / Elmenus search for your category, in your target neighbourhood — count existing players
- ☐ Test the concept name with five people who don't know you — if it doesn't land in three seconds, change it

1.3 Numbers that decide go / no-go

- ☐ Estimated CapEx: total build-out + equipment + opening inventory + 90 days operating buffer
- ☐ Break-even revenue per day — how many covers or orders at your ticket size
- ☐ Realistic ramp curve — month 1 at 40% of target, month 3 at 70%, month 6 at 100%
- ☐ Worst-case scenario — if revenue runs 30% below target for 6 months, can you survive

THE VALIDATION LITMUS TEST

If you can't articulate your concept, your differentiation, and your unit economics in a single page, the concept isn't ready. Spend a week. Write the page. Show it to someone who has run a kitchen and survived.

Legal & *licensing*.

The Egyptian licensing path runs through six bodies. Done in the right order, it takes 6 to 10 weeks. Done in the wrong order, it takes a year.

2.1 Company formation

- ☐ Decide the legal structure — LLC (most common), sole proprietorship (sole owner), partnership (less common in F&B)
- ☐ Register the company with GAFI (General Authority for Investment) — commercial register issued
- ☐ Open a corporate bank account — you'll need this before signing any leases
- ☐ Obtain the tax card from the Egyptian Tax Authority within 30 days of commercial register
- ☐ Register for VAT if expected revenue exceeds 500,000 EGP / year (almost all F&B operations)
- ☐ Activity code — make sure F&B / restaurant / food production is explicitly included on the commercial register

2.2 Premises licences

- ☐ Site civil-defence clearance — fire safety inspection of the premises (renew annually)
- ☐ Governorate-level construction / occupancy permit if any kitchen build-out happened
- ☐ Health licence from the local Ministry of Health office — kitchen layout review, sink count, ventilation check
- ☐ NFSA food establishment licence — the master food-safety licence; required for any kitchen producing food
- ☐ If serving alcohol: separate licence through the Ministry of Tourism & Antiquities (a different track entirely)
- ☐ Music / public-performance licence (SACERAU) if playing music in a customer-facing area

2.3 Staff licences

- ☐ Food handler health certificates for every kitchen and service staff member
- ☐ Social Insurance registration for every employee — done through the Social Insurance Authority
- ☐ Labour office registration of the workforce (Ministry of Manpower)

- ☐ Work permits for any non-Egyptian staff (chef, consultant) — sponsor-employer paperwork

THE BIGGEST LICENSING TRAP

Signing a lease for a location whose existing licence does not cover food preparation. Some commercial spaces are licensed only for retail, office, or non-food F&B. Converting a non-food premises to food use can take 6+ months and may be denied. Always confirm with the landlord, and ideally the local district office, before signing.

Location & *lease*.

A lease in Cairo is a 5 to 10 year commitment. Get the terms right or pay for the mistake every month for a decade.

3.1 Location selection

- ☐ Foot-traffic count — stand on the site for one hour at three different times, count passers-by
- ☐ Parking — your customer category determines whether parking is decisive or irrelevant
- ☐ Visibility — how far away can a driver / walker see the sign; line-of-sight matters
- ☐ Co-tenants — what surrounds you matters as much as the unit itself
- ☐ Delivery operability — if you'll do delivery, is there space for couriers to wait without blocking customers
- ☐ Power supply — three-phase if you need commercial kitchen equipment; confirm the building can deliver it
- ☐ Water and drainage — kitchen needs both more water and bigger drainage than retail; check existing infrastructure

3.2 Lease terms that matter

- ☐ Term — minimum 5 years for serious operations; shorter terms make payback math hard
- ☐ Rent escalation — annual increase cap in EGP terms; protect against inflation surprises
- ☐ Free-rent / fit-out period — 30 to 90 days during build-out before paying rent; non-negotiable for proper kitchens
- ☐ Permitted use — explicitly written as "restaurant / food preparation / kitchen" not generic "commercial"
- ☐ Assignment / sub-lease rights — your exit option if it doesn't work
- ☐ Maintenance responsibility — landlord covers structural; tenant covers everything inside
- ☐ Security deposit — typically 3 months; pushing for less is reasonable; pushing for more is a red flag from the landlord

A bad concept in a great location often survives. A great concept in a bad location rarely does. Location is the variable you can't fix afterwards.

— KITCHEN THREE RULE OF THUMB

Build-out, equipment, *and team.*

Three workstreams that run in parallel. The build-out drives the timeline; the equipment drives the cost; the team drives the result.

4.1 Kitchen build-out

- ☐ Kitchen layout signed off by an F&B designer or experienced operator — not by the contractor alone
- ☐ One-way flow: receiving → storage → prep → cook → plate / pack → service
- ☐ Stainless steel surfaces and food-grade flooring in all production zones
- ☐ Adequate ventilation hood + duct routing — single most underbudgeted item in Egyptian builds
- ☐ Grease trap installed and accessible — required for NFSA licence
- ☐ Dedicated handwash sinks separate from prep sinks — required, often missed
- ☐ Cold storage capacity = 2× your expected daily inventory minimum

4.2 Equipment

- ☐ Equipment list driven by the menu, not the showroom
- ☐ Buy commercial-grade for anything used daily; consumer-grade fails within 6 months
- ☐ Used equipment from credible sources can cut CapEx 40–60% — but inspect mechanically before purchase
- ☐ Service contracts on refrigeration, fryers, ovens — first failure is rarely the last
- ☐ POS system tied to inventory and kitchen display from day one — not added later
- ☐ Inventory of small wares: pans, knives, scales, thermometers, spatulas — 30% extra on opening day

4.3 Team

- ☐ Head chef / kitchen lead hired no later than 60 days before opening — they need to shape SOPs and menu
- ☐ Sous chef and station leads in place 30 days before opening
- ☐ Front-of-house manager hired before any front-of-house staff are interviewed

- ☐ Hourly staff hired 14 days before soft launch — earlier and you pay for idle days, later and you skip training
- ☐ Written employment contracts for every employee — Egyptian labour law makes verbal agreements expensive
- ☐ Training plan: one full week of dry runs before paying customers walk in

Soft launch *and opening.*

The last 30 days. The most expensive 30 days to get wrong.

5.1 Soft launch

- ☐ Friends-and-family week — invite only, no public announcement, free or 50% off, full menu running
- ☐ Mandatory feedback form — every guest, written, before they leave
- ☐ Daily debrief with the whole team — what broke, what surprised, what changed
- ☐ Three menu items will probably need adjustment after week one — plan for it
- ☐ Two SOPs will fail under real volume — fix them before public opening, not after

5.2 Marketing and opening

- ☐ Instagram presence live 30 days before opening, with content — not just a placeholder
- ☐ Google Business Profile registered, with photos, hours, menu — most people find you via Maps
- ☐ Talabat / Elmenus / Mrsool listings live on opening day if you do delivery — applications take 2-3 weeks
- ☐ Local micro-influencer outreach for opening week — not big-followers, just neighbourhood relevance
- ☐ Press release to F&B media if there's a story worth telling — chef pedigree, concept, founder
- ☐ Loyalty signup mechanism from day one — every customer's email or phone is the first month's most valuable asset

5.3 First 30 days post-opening

- ☐ Daily P&L review — cost-of-goods, labour cost, sales, by day
- ☐ Weekly menu performance review — what's selling, what's wasting
- ☐ Reviews monitoring — Google, Talabat, Instagram — respond within 24 hours
- ☐ Cash position check weekly — not monthly
- ☐ One quiet hour per week to read every customer comment from the week — not delegated

A DIFFERENT WAY TO READ THIS LIST

The checklist is also a milestone tracker. If you are 45 days from opening and Phase 4.3 (team) is still empty, you have a problem. If you are 14 days from opening and Phase 5.1 (soft launch) hasn't started, you have a problem. Use it as both a path and a clock.

Ready to *build*?

Kitchen Three has guided over a hundred F&B openings in Egypt since 2013 — corporates, cloud kitchens, restaurants, cafés, central kitchens. We work upstream of opening day, when decisions are still cheap to change. Talk to us before signing the lease.

EMAIL

kf@kitchenthree.co

PHONE & WHATSAPP

+20 122 218 6669

WEBSITE

kitchenthree.co

LOCATION

Cairo, Egypt

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